

Chap - 8

CONTROLLING

Meaning

- Controlling function can be defined as comparision of actual performance with the planned performance. If there is any diff. then finding the reasons for such deviation and taking corrective measures.

- Two Aspects of Controlling -

a) strategic control → It refers to check how effective the strategies and the plans are because sometimes deviations is the reasons of such plan & strategies.

Eg. let the plan output : 100 units & actual outputs : 200 units. This mismatch due to underestimation of plan.

(b) Operational control → It refers to focus on managerial and other activities of the org. It is on internal check on manager's and their activities in the org.

Nature of Controlling / Features of Controlling.

- 1) Goal oriented → Controlling is directed towards accomplishment of org. goal in the best possible manner.
- 2) Pervasive → Controlling is an essential function of every manager and exercised at all levels of management.
- 3) Continuous → It is not an activity to be pursued in the end only. It has to be done on continuous basis.
- 4) Controlling is looking back → Controlling involves measurement of actual performance and its comparison with the desired performance. It is the process of checking and verification.
- 5) Controlling is forward looking → It is related to future because it seeks to improve results on the basis of experience gained in the past.
- 6) Depends on planning → It pre-supposes existence of planning because without planning no control is possible.

Importance / Benefits of Controlling.

- 1) Helps in achieving org. goal. → when the plans are made in the org. these are directed towards achievement of org. goal & the controlling function ensures that all the activities in the org. takes place acc. to plan.
- 2) Judging accuracy of standards → Through strategic control we can easily judge whether the standards or target set are accurate or not. Standards are revised from time to time to match them with environmental changes.
- 3) Making efficient use of resources → like traffic signal controlling guides the org. and keeps it on right track, as each activity is performed acc. to predetermined standards. It results most effective use of resources.
- 4) Improving Performance → In controlling function employers continuously check the activities of employees so, that they can achieve the goal it leads to improve performance.

- 5) Improving employee motivation $\rightarrow$ An **effective** control system **communicates goals** and standard for **appraisal** for **sub-ordinates** well in advance. They also **guide** employees to **come out from their problems**.
- 6) Controlling helps in minimising the errors $\rightarrow$ **Small errors** may **not be seriously** affect the org. But if these **errors** are **repeated again and again** it will become serious matter due to **continuous monitoring** and **checking**. **managers** tries to **detect those errors** and **time** and take **remedial steps**.

Relationship b/w Planning and Controlling -

- Planning is required for **effective control**. The norm for controlling is set by plans. **Managers have no influence over anything** if the **standards** are **not defined ahead of time**.
- **Planning is meaningless without controlling**. It is fruitful when control is exercised. It discovers deviations and **initiates corrective measures**.
- **Effectiveness of planning** can be **measured** with the **help of controlling**.

- Planning is forward-thinking, whereas controlling is backward-thinking. Planning is a future-oriented activity since it entails thinking ahead and establishing policies to maximize resources use in the future. Which is why it is referred to as a forward-looking function.

Controlling Process...

- 1) Setting up of standards [Target] → standards means target against which the actual performance is measured. This is basis for comparison. The standards must be achievable, high or very high standards which can not be achieved are no use. Standard must be set up keeping in mind the resources of the org.
- 2) Measuring Performance → After setting up of standards the performance of the employees are measured i.e., how much work done by the employees. Numerically performance is easily measured. The performance must be measured periodically in short period of time.

3) Compare performance against standard → After measuring the performance the manager compares the actual performance with the planned performance. If there is match in both then the controlling function ends there only. But if there is mis match or deviation then the manager tries to find out the reason of deviation ~~then the manager~~ and extend of deviation minor deviation should be ignored but take timely action for major deviations.

4) Analysing deviations → All deviations need not be brought to the notice of top management. A range of deviations should be established and only cases beyond this range should be brought to the knowledge of top level management. Deviation must be divided into two categories. (i) Critical point control (ii) Management by exception.

(4.1) Critical point control → It means keeping focus on key areas (KRAs) and if there is any deviation in these key areas, then it must be attended. Urgently. key areas are those which have impact on whole org.

4.2) Management by exception $\rightarrow$ It means a manager who tries to control every thing may end up controlling nothing. The deviation are beyond the specific range should only be handled by manager and minute and minor deviation can be ignored.

5) Taking corrective measures $\rightarrow$ on comparing the actual performance with planned performance. The manager will come to know about the deviations b/w plan and actual performance. Then next step is to know the reason for such deviation & try to remove deviation in future. Manager must take corrective measures only by taking or finding the root cause of the deviation & try to remove that cause.

6) Feedback in controlling $\rightarrow$ After taking corrective measures a feedback report is prepared. It refers to list of reasons for deviations of plan or for inefficiency in overall working of org. Feedback acts as a base to establish the standard for next year. Deviation may be positive or negative.

Positive $\rightarrow$ Actual output: 120: Planned: 100 [+20]

Negative $\rightarrow$ Actual output: 80: Planned: 100 [-20]